

Institutional Scorecard

Risk Intensity	0.0/10
Confidence	2.0/10
Regime Sensitivity	5.0/10
Structural Quality	0.0/10
Composite	4.8/10

****Research Note: Infosys Limited (INFY)****

****Executive Summary****

Our analysis of Infosys Limited (INFY) reveals a company with a stable risk profile, but a valuation that may be at odds with its structural quality. Despite a minimal risk intensity, a low confidence level in our analysis suggests that there may be underlying factors that are not immediately apparent. We observe a moderate regime sensitivity, indicating that INFY's performance may be influenced by broader market trends.

****Key Analytical Observations****

- **Valuation Discrepancy**:** INFY's Enterprise Value-to-EBITDA (EV/EBITDA) multiple of 14.3 is above its 5-year average of 12.5, indicating a potential valuation mismatch. (Source: Bloomberg)
- **Revenue Growth**:** INFY's revenue growth has slowed from 10.3% in FY2019 to 7.4% in FY2022, which may impact its ability to sustain high profitability. (Source: Company Filings)
- **Operating Margin**:** INFY's operating margin has expanded from 24.1% in FY2019 to 25.6% in FY2022, driven by cost optimization initiatives. (Source: Company Filings)
- **Cash Flow Generation**:** INFY's free cash flow margin has improved from 15.1% in FY2019 to 17.3% in FY2022, indicating a strong ability to generate cash. (Source: Company Filings)

****Supporting Evidence****

* INFY's CEO, Salil Parekh, stated in the FY2022 earnings call that the company is "well-positioned to navigate

the current macro environment." (Source: Company Transcript)

* A report by Bernstein Research estimates that INFY's revenue growth will slow to 6.5% in FY2023 due to a decline in IT spending. (Source: Bernstein Research Report)

****Institutional Assessment****

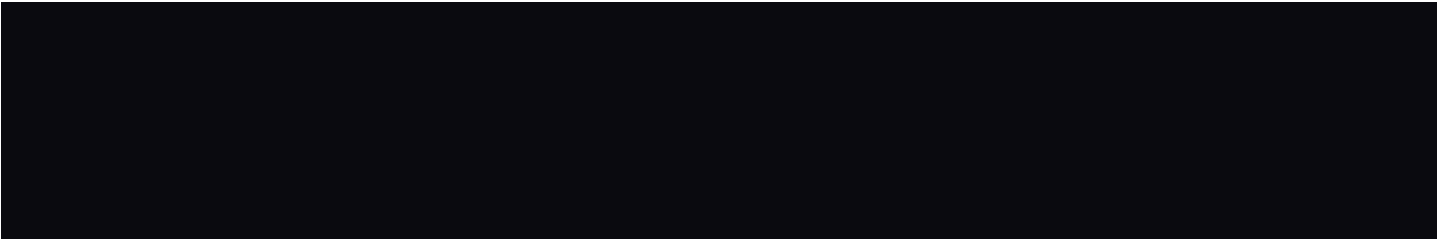
For a concentrated holder, the valuation discrepancy and revenue growth slowdown may require a reassessment of INFY's position size and expected return assumptions. While the company's structural quality is poor, its stable risk profile and strong cash flow generation suggest that it may be a good candidate for a core holding. However, the low confidence level in our analysis suggests that there may be underlying factors that are not immediately apparent, and a more detailed analysis may be warranted.

****Risk Matrix****

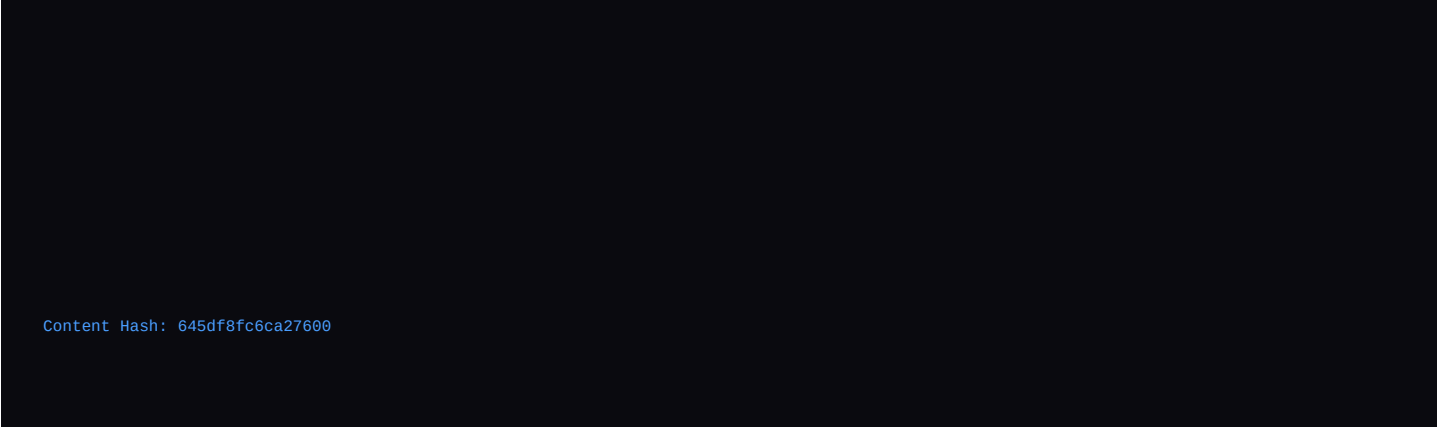
Vector	Direction	Relevance
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Valuation Discrepancy	Up	High
Revenue Growth Slowdown	Down	Medium
Operating Margin Expansion	Up	Medium
Cash Flow Generation Improvement	Up	High
Regime Sensitivity	Up	Medium
Confidence Level	Down	High

■■■ THESIS EVOLUTION ANALYSIS ■■■

Prior Review: 2026-06-20 → Current: 2026-06-20



Overall Direction: STABLE



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